

16 Mar 2026 07:15:41 ET | 16 pages

Hon Hai Precision (2317.TW)

Strong momentum continues in cloud business, consumer electronics growth remains robust

CITI'S TAKE

Despite non-operating loss and higher tax rate dragging its 4Q25 earnings, Hon Hai's 4Q25 operating profit of NT\$85.6bn (up 21% QoQ and 33% YoY) were ahead of Citi's and consensus estimate by 14% and 9% respectively. Hon Hai's 4Q25 net profit of NT\$45.2bn was down 22% QoQ and 2% YoY while its 4Q25 OPM of 3.3% was better than expected. Management is optimistic on AI demand strong growth trend and looking for remaining solid consumer electronics demand thanks to its higher exposure to high-end smartphones. We note that Hon Hai's AI cloud and networking related sales have grown to contribute 40% sales in 2025. Along with its stable OPM trend, thanks to its better scale and better time to market in AI cloud business, we see Hon Hai's robust earnings growth trend intact. We maintain Buy.

AI data center to see multiple growth in 2026 — Hon Hai is looking for high-single digit QoQ rack shipment in 1Q26 and looking for multiples AI rack shipment in 2026. Assuming 40% AI data center market share globally, with cooperation with major GPUs and ASIC makers, the company will be reaching 2k rack capacity per week this year from 1k rack per week last year. We expect Hon Hai's AI rack shipment would be able to reach nearing 30k in 2026 with sequentially QoQ growth throughout the year, and looking for stronger momentum into 2H26, thanks to higher ASP of VR NVL72 ramping up. To note that **Hon Hai is looking for 80%/20% split between GPU and ASIC for AI data center market.**

Well-positioned in AI rack standardized and diversified geographic production trend— With increasing AI rack standardizing trend and customers' request on manufacturing diversification globally, Hon Hai's position is more favorable in our view, thanks to its early engagement with key GPUs and ASIC makers. The company also provides various components within the rack from compute tray, switch tray, networking and thermal/cooling system. Thanks to its vertical integration capability, Hon Hai is seeing increasing internal component supply trend to secure better profitability and scale.

Consumer electronics demand remains resilient and solid — Despite rising concern on consumer electronics demand due to increasing component cost and macro uncertainties, thanks to Hon Hai's higher exposure to flagship smartphone in iOS, the company is still expecting robust YoY growth trend to continue.

Earnings Summary

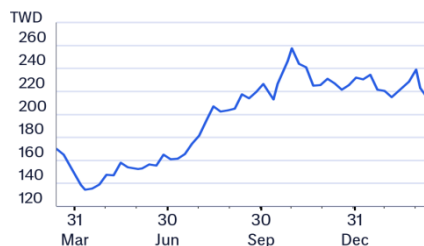
Year to 31 Dec	Net Profit (NT\$M)	Diluted EPS (NT\$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2023A	142,098	10.25	0.4	21.1	2.0	9.7	2.4
2024A	152,705	11.01	7.4	19.7	1.8	9.7	2.7
2025E	189,354	13.61	23.6	15.9	1.5	10.3	3.3
2026E	235,673	16.96	24.6	12.8	1.4	11.2	4.1
2027E	268,745	19.34	14.0	11.2	1.3	11.9	4.7

Source: Powered by dataCentral

Buy

Price (16 Mar 26 13:30)	NT\$216.50
Target price	NT\$320.00
Expected share price return	47.8%
Expected dividend yield	3.5%
Expected total return	51.3%
Market Cap	NT\$3,023,254M US\$94,197M

Price Performance (RIC: 2317.TW, BB: 2317 TT)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

2317.TW: Fiscal year end 31-Dec						Price: NT\$216.50; TP: NT\$320.00; Market Cap: NT\$3,023,254m; Recomm: Buy					
Profit & Loss (NT\$m)	2023	2024	2025E	2026E	2027E	Valuation ratios	2023	2024	2025E	2026E	2027E
Sales revenue	6,162,221	6,859,615	8,103,105	10,904,476	14,564,321	PE (x)	21.1	19.7	15.9	12.8	11.2
Cost of sales	-5,774,274	-6,430,670	-7,604,944	-10,252,561	-13,710,876	PB (x)	2.0	1.8	1.5	1.4	1.3
Gross profit	387,947	428,946	498,161	651,915	853,445	EV/EBITDA (x)	9.5	7.9	6.3	5.1	4.7
Gross Margin (%)	6.3	6.3	6.1	6.0	5.9	FCF yield (%)	9.9	-4.7	-5.2	-4.3	3.0
EBITDA (Adj)	250,934	288,489	358,575	455,998	527,789	Dividend yield (%)	2.4	2.7	3.3	4.1	4.7
EBITDA Margin (Adj) (%)	4.1	4.2	4.4	4.2	3.6	Payout ratio (%)	52	53	53	53	53
Depreciation	-84,406	-87,882	-99,352	-142,583	-160,726	ROE (%)	9.7	9.7	10.3	11.2	11.9
Amortisation	0	0	0	0	0	Cashflow (NT\$m)	2023	2024	2025E	2026E	2027E
EBIT (Adj)	166,528	200,607	259,223	313,415	367,063	EBITDA	250,934	288,489	358,575	455,998	527,789
EBIT Margin (Adj) (%)	2.7	2.9	3.2	2.9	2.5	Working capital	195,389	-101,980	-406,639	-347,145	-185,430
Net interest	16,157	8,781	-4,900	-10,849	-13,608	Other	-11,739	-28,928	-44,188	-59,395	-77,125
Associates	3,904	3,887	17,552	10,000	4,000	Operating cashflow	434,584	157,581	-92,253	49,457	265,234
Non-Op/Except/Other Adj	5,635	-1,400	21,570	26,126	29,129	Capex	-101,156	-131,335	-30,550	-170,000	-170,000
Pre-tax profit	192,224	211,875	293,445	338,693	386,584	Net acq/disposals	72,059	50,739	-39,242	-10,000	-4,000
Tax	-37,435	-40,196	-78,410	-84,673	-96,646	Other	-108,777	-219,450	6,359	0	0
Extraord./Min.Int./Pref.div.	-12,691	-18,974	-25,681	-18,347	-21,193	Investing cashflow	-137,874	-300,046	-63,433	-180,000	-174,000
Reported net profit	142,098	152,705	189,354	235,673	268,745	Dividends paid	-80,722	-83,134	-80,628	-99,979	-124,435
Net Margin (%)	2.3	2.2	2.3	2.2	1.8	Financing cashflow	-160,638	-164,072	455,918	-99,979	-124,435
Core NPAT	142,098	152,705	189,354	235,673	268,745	Net change in cash	124,368	-269,003	300,232	-230,521	-33,201
Per share data	2023	2024	2025E	2026E	2027E	Free cashflow to s/holders	296,710	-142,465	-155,686	-130,543	91,234
Reported EPS (\$)	10.25	11.01	13.61	16.96	19.34						
Core EPS (\$)	10.25	11.01	13.61	16.96	19.34						
DPS (\$)	5.30	5.80	7.16	8.91	10.16						
CFPS (\$)	31.35	11.36	-6.63	3.56	19.09						
FCFPS (\$)	21.41	-10.27	-11.19	-9.39	6.57						
BVPS (\$)	107.70	118.44	146.50	156.21	166.55						
Wtd avg ord shares (m)	13,862	13,870	13,913	13,895	13,895						
Wtd avg diluted shares (m)	13,862	13,870	13,913	13,895	13,895						
Growth rates	2023	2024	2025E	2026E	2027E						
Sales revenue (%)	-7.0	11.3	18.1	34.6	33.6						
EBIT (Adj) (%)	-4.2	20.5	29.2	20.9	17.1						
Core NPAT (%)	0.4	7.5	24.0	24.5	14.0						
Core EPS (%)	0.4	7.4	23.6	24.6	14.0						
Balance Sheet (NT\$m)	2023	2024	2025E	2026E	2027E						
Cash & cash equiv.	1,350,078	1,315,835	1,616,067	1,385,546	1,352,344						
Accounts receivables	872,270	1,141,418	1,313,897	1,888,591	2,084,621						
Inventory	730,765	835,016	1,063,299	1,405,489	1,617,658						
Net fixed & other tangibles	393,967	468,838	400,035	427,453	436,727						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	592,708	633,393	999,800	1,144,249	1,230,852						
Total assets	3,939,789	4,394,500	5,393,098	6,251,327	6,722,202						
Accounts payable	893,119	1,133,052	1,355,706	1,897,410	2,102,955						
Short-term debt	648,993	642,783	922,753	922,753	922,753						
Long-term debt	271,625	287,793	272,709	272,709	272,709						
Provisions & other liab	439,808	479,284	602,037	764,521	864,349						
Total liabilities	2,253,545	2,542,911	3,153,204	3,857,393	4,162,765						
Shareholders' equity	1,493,109	1,645,202	2,045,714	2,181,408	2,325,717						
Minority interests	193,135	206,386	194,179	212,526	233,720						
Total equity	1,686,244	1,851,588	2,239,894	2,393,934	2,559,437						
Net debt (Adj)	-429,459	-385,259	-420,606	-190,084	-156,883						
Net debt to equity (Adj) (%)	-25.5	-20.8	-18.8	-7.9	-6.1						
For definitions of the items in this table, please click here .											

Maintain Buy, TP NT\$320 unchanged — Anticipating solid growth on AI data center and its global expansion, Hon Hai guides 30% YoY capex increase in 2026. Reflecting solid demand for both AI data center and consumer electronics, we revise up our 2026/2027 OP by 3%/2% reflecting better scale in AI and remaining solid Apple momentum. While due to higher tax and non-operating items, we lower our 2026/2027 earnings by 5%/5%. It's worth noting that thanks to Hon Hai's better scale and working capital management as well as vertical integration capability, it would be able to deliver steady ROE improvement with expanding cloud AI business. We maintain Buy and TP at \$320 unchanged.

Figure 1. Hon Hai - 4Q25 Results Overview

NT\$m	4Q25 Actual	3Q25 Actual	Q/Q	4Q24 Actual	Y/Y	4Q25 Citi	Diff.	4Q25 Con's	Diff.
Revenue	2,606,372	2,058,949	27%	2,130,504	22%	2,410,618	8%	2,451,000	6%
Gross profit	153,327	130,757	17%	131,044	17%	147,022	4%	149,045	3%
Gross margin	5.9%	6.4%	-0.5%	6.2%	-0.3%	6.1%	-0.2%	6.1%	-0.2%
Op. profit	85,591	70,536	21%	64,481	33%	75,244	14%	78,224	9%
OP margin	3.3%	3.4%	-0.1%	3.0%	0.3%	3.1%	0.2%	3.2%	0.1%
Pretax profit	82,282	86,893	-5%	63,313	30%	81,414	1%	83,304	-1%
Net income	45,212	57,673	-22%	46,326	-2%	61,060	-26%	59,959	-25%
EPS	3.26	4.13	-21%	3.34	-2%	4.40	-26%	4.36	-25%

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Source: Citi Research, Bloomberg

Figure 2. Hon Hai - Earnings Estimates Revisions

(NT\$m)	2025E			2026E			2027E		
	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	8,103,105	7,907,350	2%	10,904,476	9,726,384	12%	14,564,321	11,694,404	25%
Gross profit	498,161	491,856	1%	651,915	597,991	9%	853,445	709,698	20%
Opex	238,938	242,979	-2%	338,500	293,251	15%	486,383	348,826	39%
Operating profit	259,223	248,876	4%	313,415	304,740	3%	367,063	360,871	2%
Pre-tax profit	293,445	292,577	0%	338,693	335,221	1%	386,584	386,102	0%
Net income	189,354	205,202	-8%	235,673	247,259	-5%	268,745	284,149	-5%
EPS (NT\$)	13.61	14.77	-8%	16.96	17.80	-5%	19.34	20.46	-5%
Gross margin	6.1%	6.2%	-0.1%	6.0%	6.1%	-0.2%	5.9%	6.1%	-0.2%
Opex ratio	2.9%	3.1%	-0.1%	3.1%	3.0%	0.1%	3.3%	3.0%	0.4%
Operating margin	3.2%	3.1%	0.1%	2.9%	3.1%	-0.3%	2.5%	3.1%	-0.6%
Net margin	2.3%	2.6%	-0.3%	2.2%	2.5%	-0.4%	1.8%	2.4%	-0.6%

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Source: Citi Research, Bloomberg

Figure 3. Hon Hai - 4Q25 Performance Review



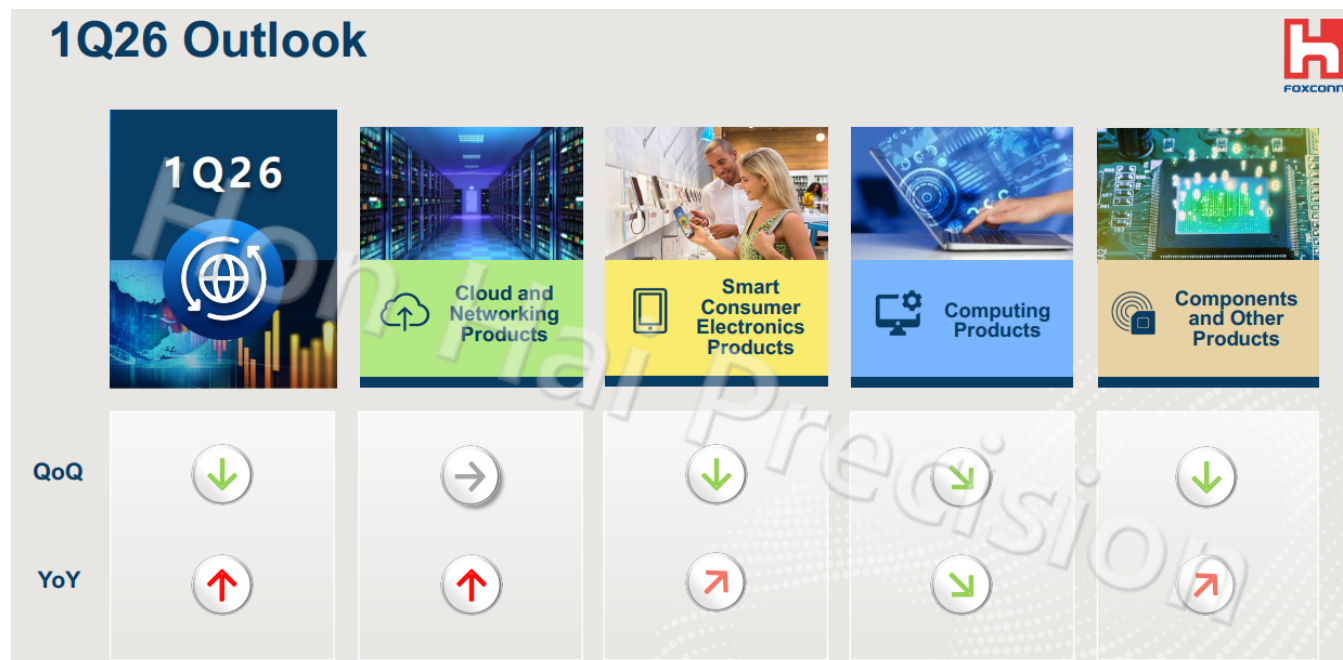
Source: Company Reports

Figure 4. Hon Hai - 2025 Performance Review



Source: Company Reports

Figure 5. Hon Hai - 1Q26E Business Outlook



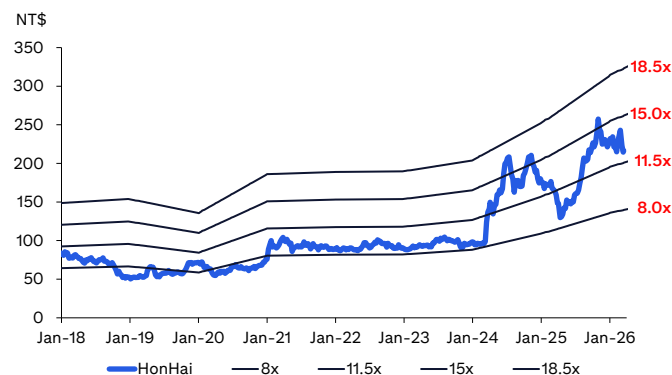
Source: Company Reports

Figure 6. Hon Hai - 2026E Business Outlook



Source: Company Reports

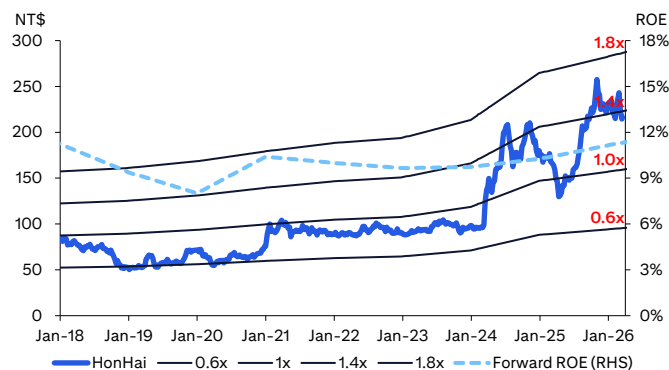
Figure 7. Hon Hai - Forward P/E Bands



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 8. Hon Hai - Forward P/B Bands



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 9. Hon Hai - Earnings Estimates Revisions

NT\$m	1Q25	2Q25	3Q25	4Q25	1Q26E	2Q26E	3Q26E	4Q26E	2024	2025	2026E	2027E
Net Sales	1,644,316	1,793,468	2,058,949	2,606,372	2,222,701	2,398,166	2,836,931	3,446,678	6,859,615	8,103,105	10,904,476	14,564,321
Gross profit	100,548	113,529	130,757	153,327	132,658	145,182	171,016	203,059	428,946	498,161	651,915	853,445
OPEX	54,048	56,933	60,220	67,736	74,246	75,321	79,717	109,216	228,339	238,938	338,500	486,383
Operating profit	46,500	56,596	70,536	85,591	58,412	69,860	91,299	93,844	200,607	259,223	313,415	367,063
Total Non-OP	12,620	8,553	16,357	(3,309)	6,275	6,674	6,565	5,765	11,268	34,222	25,278	19,521
Pre-tax profit	59,120	65,149	86,893	82,282	64,686	76,534	97,863	99,608	211,875	293,445	338,693	386,584
Income tax	13,287	15,613	20,863	28,648	16,172	19,134	24,466	24,902	40,196	78,410	84,673	96,646
Net profit	42,108	44,361	57,673	45,212	44,634	52,809	68,504	69,726	152,705	189,354	235,673	268,745
EPS (NT\$)	3.03	3.19	4.13	3.23	3.20	3.78	4.91	4.99	11.01	13.61	16.96	19.34
Margins (%)												
Gross profit	6.1	6.3	6.4	5.9	6.0	6.1	6.0	5.9	6.3	6.1	6.0	5.9
OPEX to Sales Ratio	3.3	3.2	2.9	2.6	3.3	3.1	2.8	3.2	3.3	2.9	3.1	3.3
Operating profit	2.8	3.2	3.4	3.3	2.6	2.9	3.2	2.7	2.9	3.2	2.9	2.5
Pre-tax profit	3.6	3.6	4.2	3.2	2.9	3.2	3.4	2.9	3.1	3.6	3.1	2.7
Net profit	2.6	2.5	2.8	1.7	2.0	2.2	2.4	2.0	2.2	2.3	2.2	1.8
Y/Y(%)												
Net sales	24.2	15.7	11.0	22.3	35.2	33.7	37.8	32.2	11.3	18.1	34.6	33.6
Gross profit	20.2	14.1	14.0	17.0	31.9	27.9	30.8	32.4	10.6	16.1	30.9	30.9
OPEX	15.2	3.7	0.4	1.8	37.4	32.3	32.4	61.2	3.1	4.6	41.7	43.7
Operating profit	26.5	26.9	28.8	32.7	25.6	23.4	29.4	9.6	20.5	29.2	20.9	17.1
Pre-tax profit	81.9	34.6	28.4	30.0	9.4	17.5	12.6	21.1	10.2	38.5	15.4	14.1
Net profit	91.3	26.6	16.9	(2.4)	6.0	19.0	18.8	54.2	7.5	24.0	24.5	14.0
EPS	90.9	26.3	16.1	(3.1)	5.4	18.4	18.8	54.6	7.4	23.6	24.6	14.0
Q/Q(%)												
Net sales	(22.8)	9.1	14.8	26.6	(14.7)	7.9	18.3	21.5				
Gross profit	(23.3)	12.9	15.2	17.3	(13.5)	9.4	17.8	18.7				
OPEX	(18.8)	5.3	5.8	12.5	9.6	1.4	5.8	37.0				
Operating profit	(27.9)	21.7	24.6	21.3	(31.8)	19.6	30.7	2.8				
Pre-tax profit	(6.6)	10.2	33.4	(5.3)	(21.4)	18.3	27.9	1.8				
Net profit	(9.1)	5.3	30.0	(21.6)	(1.3)	18.3	29.7	1.8				
EPS	(9.1)	5.3	29.3	(21.8)	(1.0)	18.3	29.7	1.8				

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Source: Citi Research, Bloomberg

Bull/Bear: Hon Hai Precision (2317.TW)

NT\$ **355.00**
▲ 64% Upside

NT\$ **320.00**
▲ 48% Upside

NT\$ **145.00**
▼ 33% Downside



Spread 97pp
Current Price and expected returns (upside/downside) as of 16 Mar 2026



BULL Assumptions

- Target PE at 20x



BASE Assumptions

- Sales to grow by 35% y-o-y in 2026E with OPM at 2.9%
- Target PE at 18x



BEAR Assumptions

- Sales to grow by 5% y-o-y in 2026E with OPM at 2.5%
- Target PE at 12x

Hon Hai Precision

Company description

Established in 1974, Hon Hai has become the largest EMS player in the world in terms of sales. Through its vertical integration model or "eCMMS" (e-enabled Components, Modules, Moves and Services), it provides components, modules and system assembly products to many global OEMs in the PC, communication and consumer sectors.

Investment strategy

We rate Hon Hai shares as Buy as we believe the company's margins will continue to improve, backed by a renewed focus on profitability, operational efficiency and new businesses development. We think there's more upside to go from current level, as the underlying drivers are not just about product cycle, but also about fundamental transformation and new business opportunities.

Valuation

Our target price of NT\$320 is based on 18x 2026E EPS, which is at the higher end of the historical trading range. We believe this multiple is justified by the company's enhanced sales growth and profit margin outlook, as well as new endeavors into AI server, EV, digital health and robotics. Hon Hai has been able to generate positive earnings streams, and thus we believe a P/E valuation methodology is appropriate.

Risks

Downside risks that could impede the stock from reaching our target price include: 1) slower-than-expected iPhone demand; 2) intensified peer competition; 3) weaker-than-expected execution on new business progress; and 4) higher-than-expected impact of COVID-19 or other macro factors.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global

Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Hon Hai Precision (2317.TW)

Ratings and Target Price History Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	14-Aug-23 08:56:05	1	*133.00	110.00
2	14-Mar-24 18:14:10	1	*166.00	121.00
3	14-May-24 10:12:01	1	*207.00	172.00
4	23-Jun-24 17:55:18	1	*255.00	212.00

	Date	Rating	Target Price	Closing Price
5	14-Aug-24 09:06:07	1	*250.00	185.50
6	14-Nov-24 09:52:36	1	*260.00	211.50
7	14-May-25 08:26:47	1	*220.00	163.00
8	14-Aug-25 11:01:46	1	*250.00	199.50

	Date	Rating	Target Price	Closing Price
9	06-Oct-25 08:33:44	1	*285.00	226.50
10	12-Nov-25 13:13:30	1	*320.00	251.00

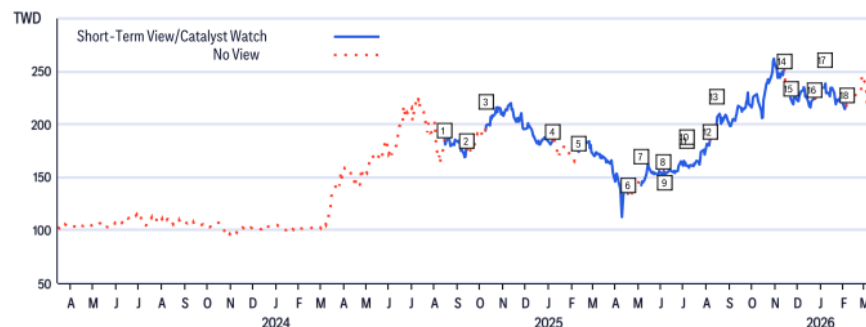
*Indicates Change

Rating/target price changes above reflect Eastern Time

Hon Hai Precision (2317.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	14-Aug-24 05:06:07	Add STV	Upside	30 Days	185.50
2	13-Sep-24 14:18:39	Remove STV	Upside	30 Days	176.00
3	08-Oct-24 08:12:52	Add STV	Upside	90 Days	194.00
4	06-Jan-25 19:58:13	Remove STV	Upside	90 Days	184.50
5	10-Feb-25 01:21:07	Add STV	Upside	90 Days	174.00
6	17-Apr-25 07:55:20	Remove STV	Upside	90 Days	134.50

	Date	Action	Expected Direction	Duration	Closing Price
7	05-May-25 02:10:47	Add STV	Upside	30 Days	142.50
8	04-Jun-25 21:54:31	Remove STV	Upside	30 Days	156.00
9	05-Jun-25 06:40:07	Add STV	Downside	30 Days	155.50
10	04-Jul-25 14:23:13	Remove STV	Downside	30 Days	161.00
11	06-Jul-25 14:10:54	Add STV	Upside	30 Days	161.00
12	05-Aug-25 21:47:06	Remove STV	Upside	30 Days	184.50

	Date	Action	Expected Direction	Duration	Closing Price
13	14-Aug-25 07:01:46	Add STV	Upside	90 Days	199.50
14	12-Nov-25 19:59:24	Remove STV	Upside	90 Days	251.00
15	23-Nov-25 14:57:51	Add STV	Upside	30 Days	225.00
16	23-Dec-25 19:51:51	Remove STV	Upside	30 Days	224.00
17	05-Jan-26 01:27:04	Add STV	Upside	30 Days	234.50
18	04-Feb-26 19:57:48	Remove STV	Upside	30 Days	219.00

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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